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Eaze is the largest direct-to-consumer cannabis retailer in California

5.7M+

Deliveries Completed

725k+

Customers Served

$190M+

2020 Transaction Value

$125M+

2020 Revenues

~$13B

Total Addressable Market

$95

Average Transaction Value

60%

of Network Owned by Eaze

85%

Total California Population Serviced in Active Territories

Note: Data as of May 2020. 2020 figures are combination of actuals and projections

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Eaze had strong core growth metrics in 2019

$176M ⬆ 78%

Gross Transaction Value

$133M ⬆ 71%

Gross Merchandise Value

2.0M ⬆ 71%

Return Customer Deliveries

298k ⬆ 68%

New Customer Deliveries





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Eaze is transitioning from a marketplace to a vertical retail operator

MARKETPLACE		VERTICAL RETAILER
Poor liquidity/cash & mis-aligned retail partners	▶	Positive working capital & reduced cost
Inconsistent supply chain & control of brand	▶	House brands, optimization to maximize profit
No direct access to consumer payments	▶	Ownership of networks & last-mile distribution

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This transition requires two key steps: depot consolidation and private-label brand launches

DEPOT CONSOLIDATION

$75M+ → **$120M+**

Increase in Revenue → *Increase in Cash Collections*

- → 95%+ of dispensaries by July 2020
- → Centralize operations and reduce back office redundancies (e.g., Finance, HR, etc.)
- → Optimize operations / profitability

PRIVATE LABEL BRANDS

$125M x **40%** x **15%** = **$7.5M**

Est. 2020 Revenue | *Target Menu Share* | *Margin Improvement* | *Cost Savings*



$20
Mango Sherbert
Circles



$15
Pink Lemonade
Circles



$9
Birthday Cake 1g Preroll
Circles



Depot consolidation: Eaze now controls ~60%+ of GTV[1]



[1] Gross Transaction Value equals total product costs plus taxes and fees.

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Private label brands: Eaze private label creates 15% incremental margin and now represents ~12% of GTV[1]

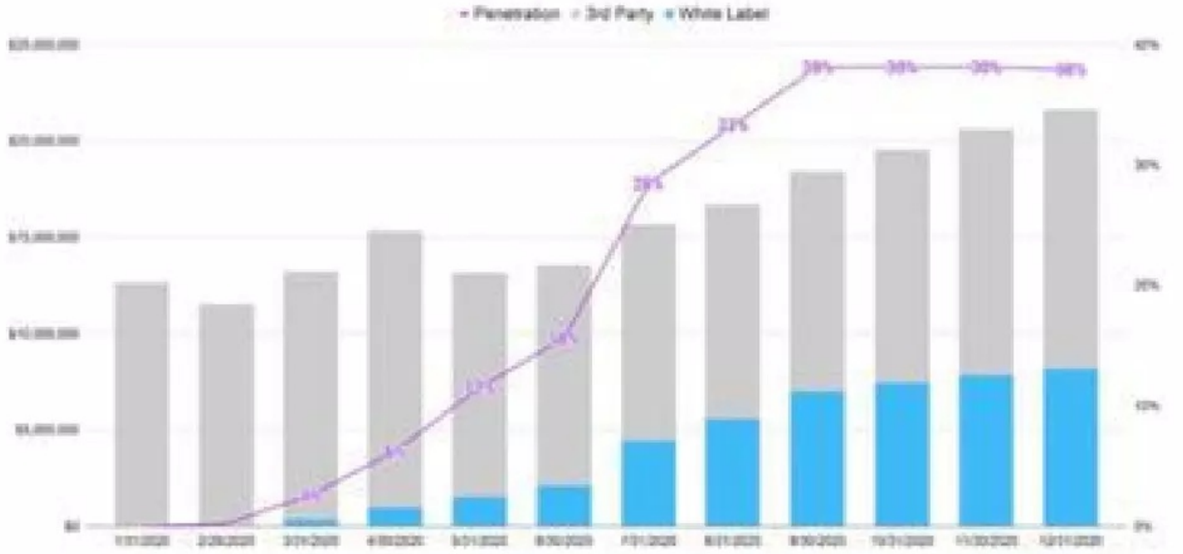
Margin Improvement

HOUSE BRAND MARKUP

Capturing Additional Value through Private Label

	COST	WHOLESALE	RETAIL	MARGIN
House Brand	$7.50	$12.00	$30.00	75.00%
3rd Party		$12.00	$30.00	60.00%

% of GTV



[1] Gross Transaction Value equals total product costs plus taxes and fees.

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High category penetration enabling Eaze private label brands to grow ownership of GTV

~25% penetration vaporizer category



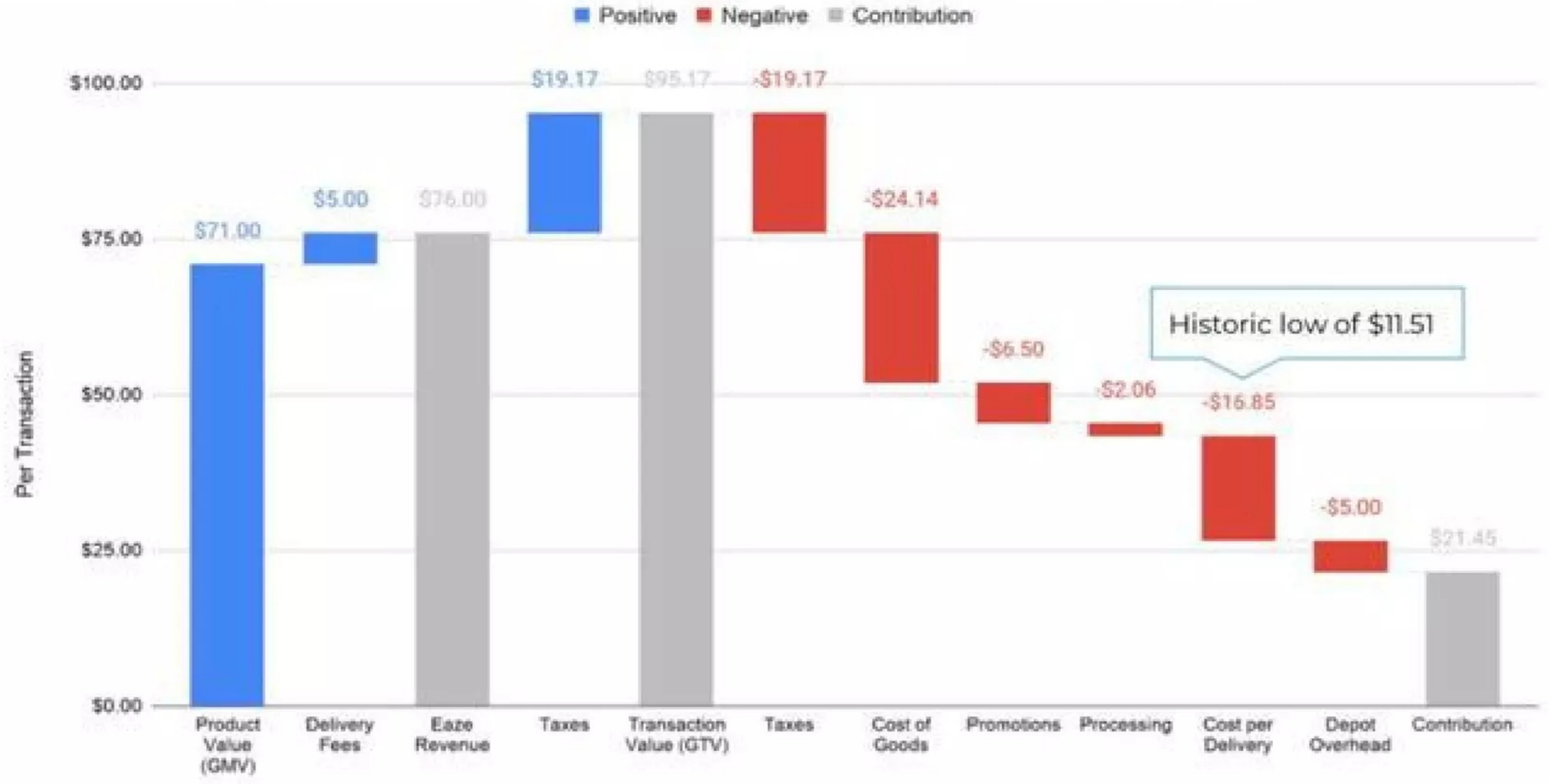
~25% penetration flower category



Note: Vaporizer shows penetration of SF dispensary and flower shows penetration of LA dispensary.

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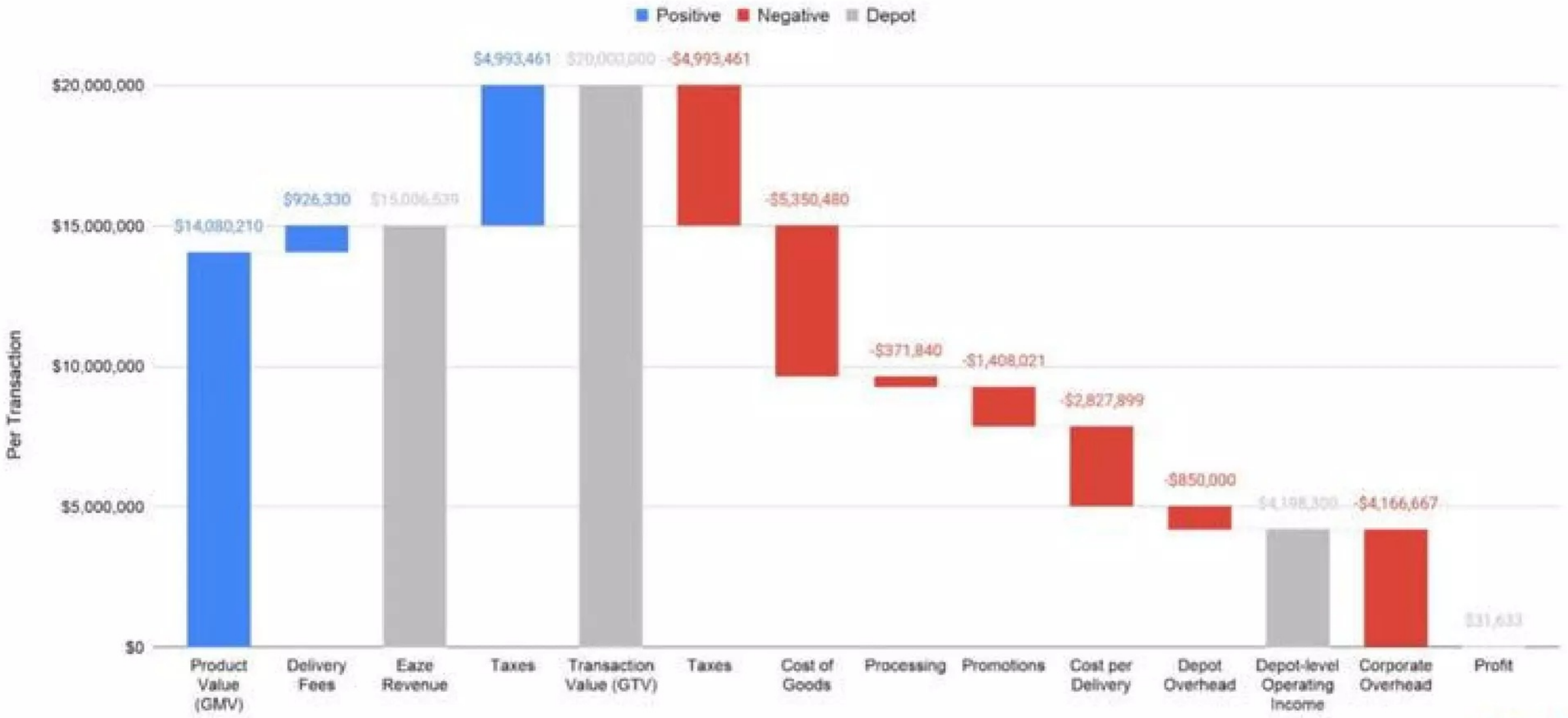
As we take control of depots and build private label brands, our contribution margin improves to 25%+



[1] Gross Transaction Value equals total product costs plus taxes and fees.

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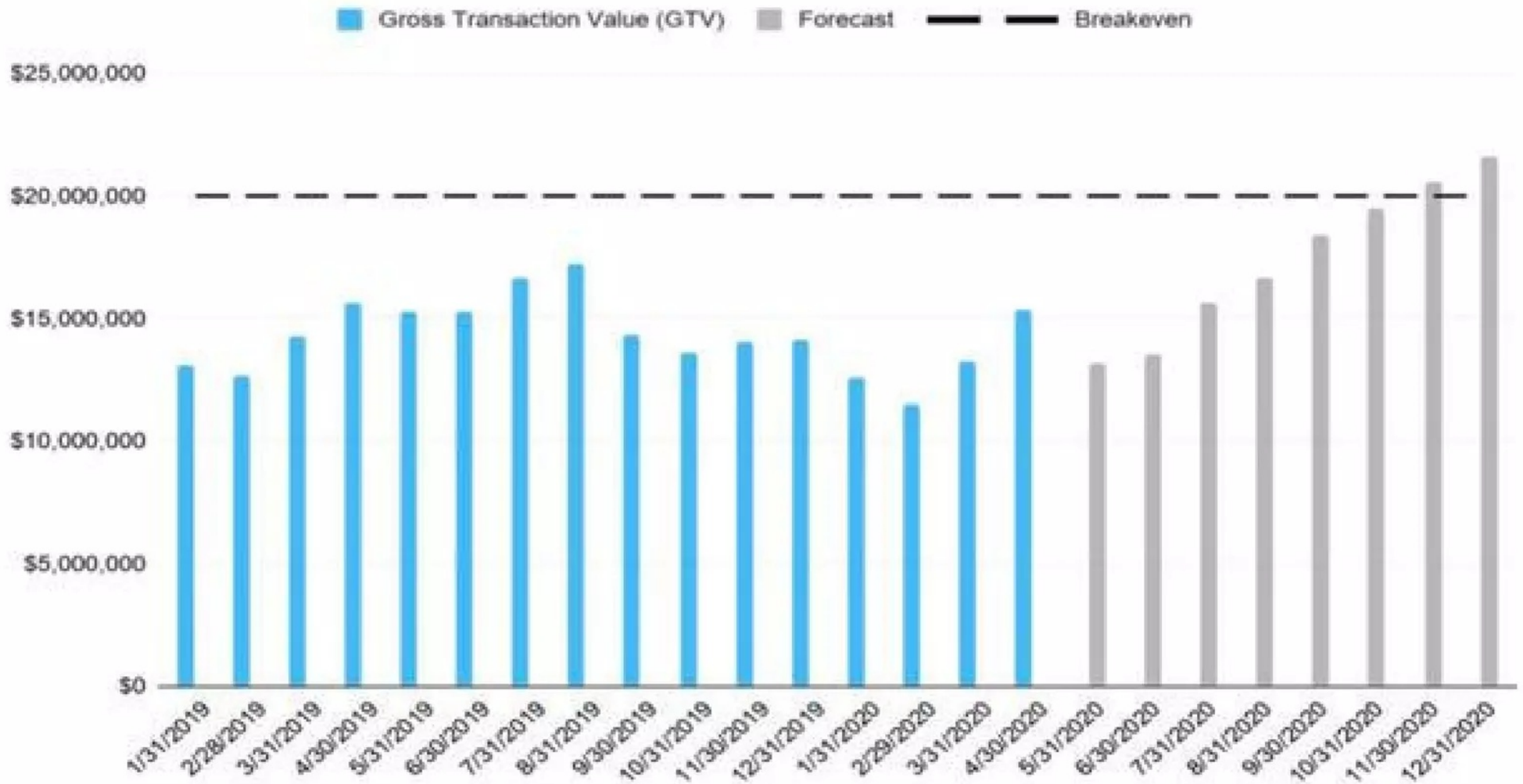
EBITDA positive at ~$20M of GTV[1] per month



[1] Gross Transaction Value equals total product costs plus taxes and fees.

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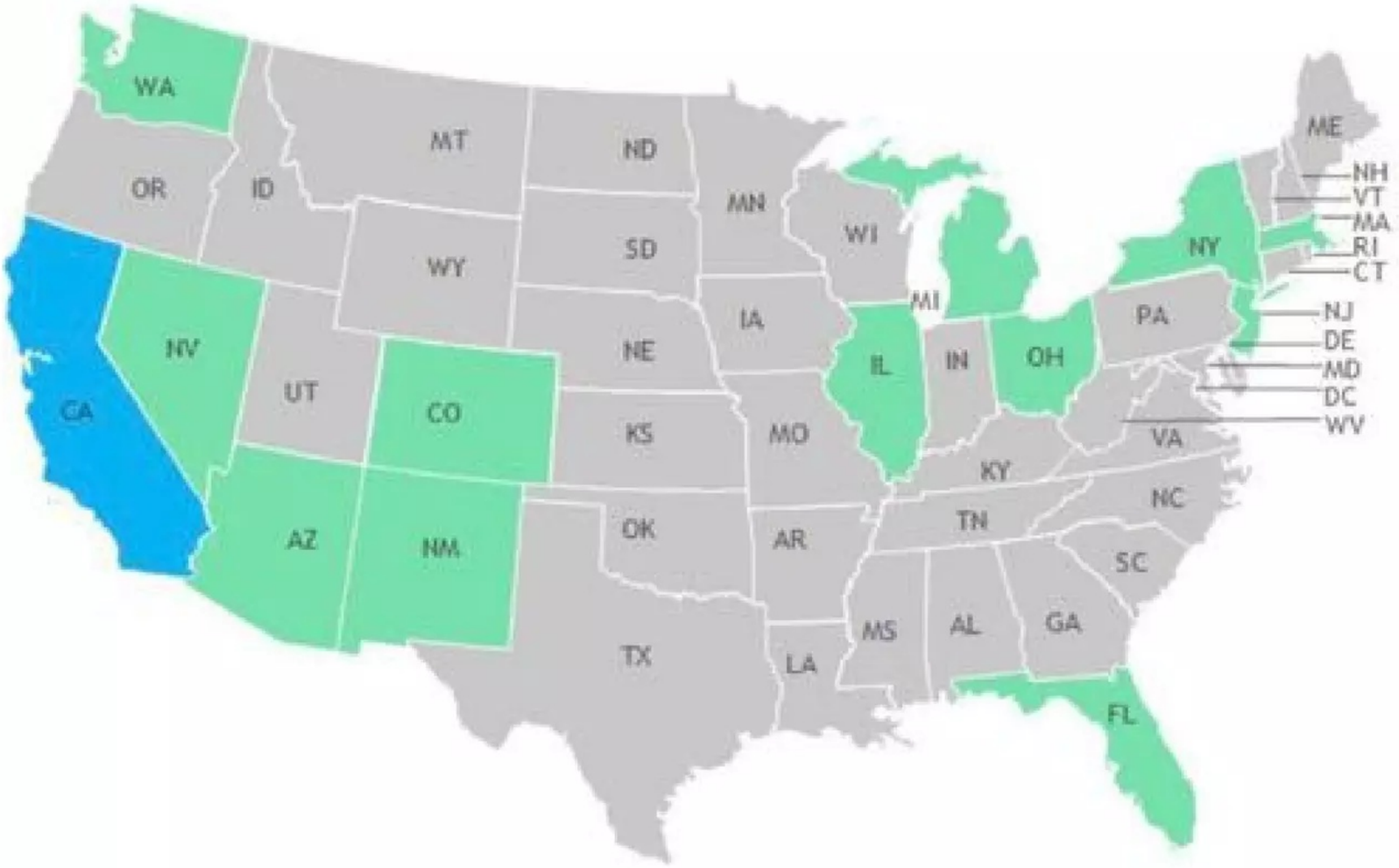
Expect to reach $20M in GTV[1] in Q4-2020 with increased marketing in 2H-2020 after network consolidation



[1] Gross Transaction Value equals total product costs plus taxes and fees.
Note: Blue represents actual gross transaction value as of April 30, 2020, while gray represents forecasted gross transaction value.

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After we reach EBITDA positive in California, we will lift and shift model to other states



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Our differentiated tech, strong brand, and data-driven marketing will enable us to be successful out of state

Differentiated Tech



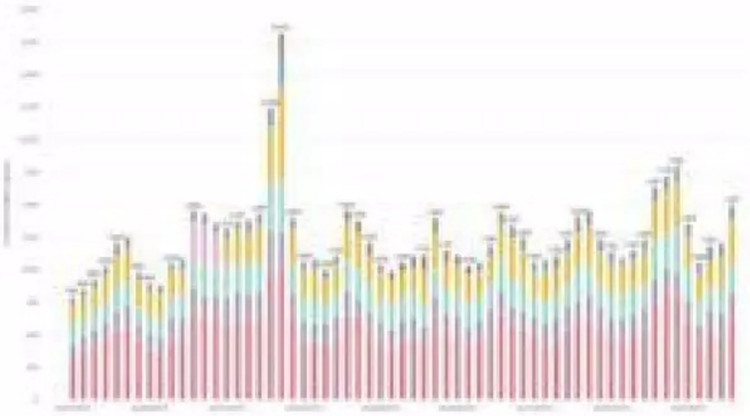
Proprietary, differentiated and scalable tech gives us a competitive advantage

Recognizable brand



Recognizable brand with high affinity (e.g., 75 net promoter score)

Data-driven marketing



Largest customer database provides data advantage to scale in new markets

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Management team

Ro Choy
Chief Executive Officer



CEO of BitTorrent and Business Leader at Ebay

Megan Miller
Chief Operating Officer



Vice President of Loggly, Docusign

Andrea Lobato
Chief Legal Officer



Dir. of Compliance at Lyft and Dir. of Legal at Judicata

John Curtis
Chief Financial Officer



CFO of Pacific Gateway Concessions, Leadership at Syniverse

Nick Fasano
Chief Revenue Officer



VP of Sales at Localytics, Axceler, and Rapid7

David Mack
SVP Comms & Public Policy



Sr. Director of Public Affairs at Lyft

Akshay Vyas
VP Technology



Vice President of Engineering at Quid, Head of UI Engineering at Docker

Cory Azzalino
SVP Finance



Restructuring CEO at DYME, Investor at Prudential Capital

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